

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

for the year ended 31 December in HK\$ million	Note	2024	2023
Revenue from Hong Kong transport operations	4	23,013	20,131
Revenue from Hong Kong station commercial businesses	5	5,343	5,117
Revenue from Hong Kong property rental and management businesses	6	5,379	5,079
Revenue from Mainland China and international railway, property rental and management subsidiaries	7	25,467	25,955
Revenue from other businesses	8	809	700
		60,011	56,982
Revenue from Mainland China property development	7	–	–
Total revenue		60,011	56,982
Expenses relating to Hong Kong transport operations			
– Staff costs and related expenses	10A	(7,636)	(6,917)
– Maintenance and related works		(2,436)	(2,387)
– Energy and utilities		(2,289)	(2,427)
– General and administration expenses		(1,039)	(940)
– Stores and spares consumed		(729)	(605)
– Railway support services		(488)	(375)
– Government rent and rates		(192)	(155)
– Other expenses		(510)	(371)
		(15,319)	(14,177)
Expenses relating to Hong Kong station commercial businesses		(685)	(560)
Expenses relating to Hong Kong property rental and management businesses		(1,184)	(1,063)
Expenses relating to Mainland China and international railway, property rental and management subsidiaries	7	(23,811)	(24,883)
Expenses relating to other businesses		(702)	(579)
Project study and business development expenses		(403)	(397)
		(42,104)	(41,659)
Expenses relating to Mainland China property development	7	(3)	(13)
Operating expenses before depreciation, amortisation and variable annual payment	10	(42,107)	(41,672)
Operating profit/(loss) before Hong Kong property development, fair value measurement of investment properties, depreciation, amortisation and variable annual payment			
– Arising from recurrent businesses		17,907	15,323
– Arising from Mainland China property development		(3)	(13)
		17,904	15,310
Hong Kong property development profit from share of surplus, income and interest in unsold properties	12	12,185	2,329
(Loss)/gain from fair value measurement of investment properties	13	(1,703)	1,386
Operating profit before depreciation, amortisation and variable annual payment		28,386	19,025
Depreciation and amortisation	14	(6,144)	(6,105)
Provisions for onerous contracts		–	(1,022)
Variable annual payment		(3,025)	(2,355)
Share of profit of associates and joint ventures	27	1,340	1,259
Profit before interest, finance charges and taxation		20,557	10,802
Interest and finance charges	15	(1,032)	(1,139)
Profit before taxation		19,525	9,663
Income tax	16	(3,458)	(1,575)
Profit for the year		16,067	8,088
Attributable to:			
– Shareholders of the Company		15,772	7,784
– Non-controlling interests		295	304
Profit for the year		16,067	8,088
Profit/(loss) for the year attributable to shareholders of the Company:	9		
– Arising from recurrent businesses			
– in Hong Kong		5,981	4,940
– outside Hong Kong		1,229	(659)
		7,210	4,281
– Arising from property development			
– in Hong Kong		10,235	2,035
– outside Hong Kong		30	48
		10,265	2,083
– Arising from underlying businesses		17,475	6,364
– Arising from fair value measurement of investment properties		(1,703)	1,420
		15,772	7,784
Earnings per share:	18		
– Basic		HK\$2.54	HK\$1.26
– Diluted		HK\$2.54	HK\$1.25

The notes on pages 185 to 266 form part of the consolidated financial statements.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 December in HK\$ million	Note	2024	2023
Profit for the year		16,067	8,088
Other comprehensive (loss)/income for the year (after taxation and reclassification adjustments):	19		
Items that will not be reclassified to profit or loss:			
– (Loss)/surplus on revaluation of self-occupied buildings		(127)	24
– Remeasurement of net asset/liability of defined benefit schemes		144	(194)
		17	(170)
Items that may be reclassified subsequently to profit or loss:			
– Exchange differences on translation of:			
– financial statements of subsidiaries, associates and joint ventures outside Hong Kong		(762)	(378)
– non-controlling interests		(40)	26
– Cash flow hedges: net movement in hedging reserve		270	(608)
		(532)	(960)
		(515)	(1,130)
Total comprehensive income for the year		15,552	6,958
Attributable to:			
– Shareholders of the Company		15,297	6,628
– Non-controlling interests		255	330
Total comprehensive income for the year		15,552	6,958

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CONSOLIDATED STATEMENT OF FINANCIAL POSITION

in HK\$ million	Note	At 31 December 2024	At 31 December 2023
Assets			
Fixed assets			
– Investment properties	20A	96,322	98,205
– Other property, plant and equipment	20B	107,223	103,721
– Service concession assets	21	39,645	36,710
		243,190	238,636
Property management rights		9	10
Railway construction in progress	23	11,375	4,256
Property development in progress	24A	42,300	41,728
Deferred expenditure	25	64	378
Interests in associates and joint ventures	27	13,039	12,785
Deferred tax assets	40B	521	603
Investments in securities	28	1,952	862
Properties held for sale	29	2,422	1,939
Derivative financial assets	30	342	240
Stores and spares	31	2,421	2,557
Debtors and other receivables	32	15,780	13,756
Amounts due from related parties	33	6,198	5,802
Cash, bank balances and deposits	34	27,886	22,375
Assets of disposal group classified as held for sale	49	–	499
		367,499	346,426
Liabilities			
Short-term loans	35A	847	1,379
Creditors, other payables and provisions	36	69,417	76,682
Current taxation	40A	2,909	1,623
Amounts due to related parties	37	3,207	2,614
Loans and other obligations	35A	76,721	58,112
Obligations under service concession	38	9,969	10,059
Derivative financial liabilities	30	2,014	1,710
Loans from holders of non-controlling interests	39	116	141
Deferred tax liabilities	40B	16,166	15,151
Liabilities of disposal group classified as held for sale	49	–	99
		181,366	167,570
Net assets			
		186,133	178,856
Capital and reserves			
Share capital	41	61,287	61,083
Shares held for Executive Share Incentive Scheme		(299)	(269)
Other reserves		124,637	117,530
Total equity attributable to shareholders of the Company		185,625	178,344
Non-controlling interests		508	512
Total equity		186,133	178,856

Approved and authorised for issue by the Members of the Board on 6 March 2025

Rex P K Auyeung
Chairman

Jacob C P Kam
Chief Executive Officer

Michael G Fitzgerald
Finance Director

The notes on pages 185 to 266 form part of the consolidated financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December in HK\$ million	Note	Share capital	Shares held for Executive Share Incentive Scheme	Other reserves					Total equity attributable to shareholders of the Company	Non- controlling interests	Total equity
				Fixed assets revaluation reserve	Hedging reserve	Employee share-based capital reserve	Exchange reserve	Retained profits			
2024											
Balance as at 1 January 2024		61,083	(269)	3,848	(522)	178	(1,662)	115,688	178,344	512	178,856
Changes in equity for the year ended 31 December 2024:											
– Profit for the year		–	–	–	–	–	–	15,772	15,772	295	16,067
– Other comprehensive (loss)/ income for the year	19	–	–	(127)	270	–	(762)	144	(475)	(40)	(515)
– Total comprehensive (loss)/ income for the year		–	–	(127)	270	–	(762)	15,916	15,297	255	15,552
– Amounts transferred from hedging reserve to initial carrying amount of hedged items		–	–	–	(1)	–	–	–	(1)	–	(1)
– 2023 final ordinary dividend	17	–	–	–	–	–	–	(5,533)	(5,533)	–	(5,533)
– Shares issued in respect of scrip dividend of 2023 final ordinary dividend	41A	202	(3)	–	–	–	–	3	202	–	202
– 2024 interim ordinary dividend	17	–	–	–	–	–	–	(2,614)	(2,614)	–	(2,614)
– Shares purchased for Executive Share Incentive Scheme	41B	–	(207)	–	–	–	–	–	(207)	–	(207)
– Vesting and forfeiture of award shares of Executive Share Incentive Scheme	41B	2	180	–	–	(176)	–	(6)	–	–	–
– Employee share-based payments		–	–	–	–	137	–	–	137	–	137
– Equity contributions from holders of non-controlling interests		–	–	–	–	–	–	–	–	6	6
– Dividends to holders of non-controlling interests		–	–	–	–	–	–	–	–	(265)	(265)
Balance as at 31 December 2024		61,287	(299)	3,721	(253)	139	(2,424)	123,454	185,625	508	186,133
2023											
Balance as at 1 January 2023		60,547	(262)	3,824	87	146	(1,284)	116,228	179,286	626	179,912
Changes in equity for the year ended 31 December 2023:											
– Profit for the year		–	–	–	–	–	–	7,784	7,784	304	8,088
– Other comprehensive income/ (loss) for the year	19	–	–	24	(608)	–	(378)	(194)	(1,156)	26	(1,130)
– Total comprehensive income/ (loss) for the year		–	–	24	(608)	–	(378)	7,590	6,628	330	6,958
– Amounts transferred from hedging reserve to initial carrying amount of hedged items		–	–	–	(1)	–	–	–	(1)	–	(1)
– 2022 final ordinary dividend	17	–	–	–	–	–	–	(5,520)	(5,520)	–	(5,520)
– Shares issued in respect of scrip dividend of 2022 final ordinary dividend	41A	438	(2)	–	–	–	–	2	438	–	438
– 2023 interim ordinary dividend	17	–	–	–	–	–	–	(2,610)	(2,610)	–	(2,610)
– Shares issued in respect of scrip dividend of 2023 interim ordinary dividend	41A	97	–	–	–	–	–	–	97	–	97
– Shares purchased for Executive Share Incentive Scheme	41B	–	(93)	–	–	–	–	–	(93)	–	(93)
– Vesting and forfeiture of award shares of Executive Share Incentive Scheme	41B	1	88	–	–	(87)	–	(2)	–	–	–
– Employee share-based payments		–	–	–	–	119	–	–	119	–	119
– Equity contributions from holders of non-controlling interests		–	–	–	–	–	–	–	–	125	125
– Dividends to holders of non-controlling interests		–	–	–	–	–	–	–	–	(569)	(569)
Balance as at 31 December 2023		61,083	(269)	3,848	(522)	178	(1,662)	115,688	178,344	512	178,856

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CONSOLIDATED STATEMENT OF CASH FLOWS

for the year ended 31 December in HK\$ million	Note	2024	2023
Cash flows from operating activities			
Cash generated from operations	42	19,741	13,471
Purchase of tax reserve certificates		(60)	(57)
Current tax paid			
– Hong Kong Profits Tax paid		(762)	(1,975)
– Tax paid outside Hong Kong		(428)	(242)
Net cash generated from operating activities		18,491	11,197
Cash flows from investing activities			
Capital expenditure			
– Purchase of assets for Hong Kong transport and related operations		(11,486)	(8,463)
– Hong Kong railway extension projects		(5,817)	(2,309)
– Investment property projects and fitting out work		(666)	(1,250)
– Shenzhen Metro Line 13 Phase 1 project		(1,310)	(429)
– Other capital projects		(137)	(125)
		(19,416)	(12,576)
Fixed and variable annual payments		(3,105)	(1,073)
Receipts in respect of property development		3,007	7,109
Payments in respect of property development		(1,259)	(1,007)
Decrease/(increase) in bank deposits with more than three months to maturity when placed or pledged, and structured bank deposits		750	(907)
Dividends and distributions received from associates		639	577
Investments in associates and joint ventures		(73)	(52)
(Purchase)/redemption of investments in securities		(1,154)	203
Others		344	2
Net cash used in investing activities		(20,267)	(7,724)
Cash flows from financing activities			
Purchase of shares for Executive Share Incentive Scheme		(207)	(93)
Proceeds from loans and capital market instruments		45,842	74,057
Repayment of loans, capital market instruments and others		(27,405)	(62,179)
Interest and finance charges paid		(2,497)	(1,869)
Interest received		1,177	563
Capital element of lease rentals paid		(189)	(567)
Equity contributions from holders of non-controlling interests		6	125
Repayment of loan from holders of non-controlling interests		(13)	–
Dividends paid to shareholders of the Company		(7,946)	(7,595)
Dividends paid to holders of non-controlling interests		(265)	(569)
Net cash generated from financing activities		8,503	1,873
Net increase in cash and cash equivalents		6,727	5,346
Cash and cash equivalents at 1 January		15,575	10,241
Effect of exchange rate changes		(466)	82
Cash and cash equivalents reclassified as disposal group held for sale	49	–	(94)
Cash and cash equivalents at 31 December	34	21,836	15,575

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